later, he was presented with a demonetisation proposal. It could well have played a role in influencing his decision as prime minister.

Why Demonetisation Did Not Hurt Modi

When the national lockdown of 2020 induced the sharpest contraction in quarterly GDP growth since 1996—which is when quarterly numbers began to be collected—Congress leader Rahul Gandhi tweeted a series of videos linking India's economic slowdown to demonetisation. Framing the 2020 GDP growth numbers as the 'bhayanak' (terrible) outcome of the 2016 gambit, Gandhi argued that Modi's bid for a 'cash-free' India 'broke' the economy, leading to what he called a 'labourer-farmer-small trader-free India'.[19]

Most economists agree that demonetisation was indeed a monetary 'shock' that slowed growth, though they argue about the size of its effect.[20] Yet, the question that has flummoxed all BJP critics is why Brand Modi remained relatively impervious to the problem of falling job-creation and declining economic indicators, which would have brought low any other government. Whichever side of the ideological fence you are on, there is no denying that the 2019 general election campaign was built on the simple axis of whether you were personally for or against the prime minister. Similarly, the 2017 UP assembly election was widely regarded as a mini-referendum on Modi's demonetisation decision. Both campaigns were fronted by the prime minister and both yielded sweeping victories for the BJP, powered by rural voters who were precisely the people whose economic interests had ostensibly been hurt. If anything, however, the 2017 UP poll results exemplified a considerable deepening of the BJP's rural voter base, which further expanded in 2019 across all Hindi-speaking states (as Chapter 2 shows).

Figure 10.1: India's Economic Trajectory Under the Modi Government: GDP Growth Rate